KT (030200 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**26,431**	**28,244**	**27,426**	**27,905**	**28,324**
Cost of sales	0	0	0	0	0
Gross profit	26,431	28,244	27,426	27,905	28,324
SG&A	25,622	25,775	25,350	25,649	25,956
Operating profit	**809**	**2,469**	**2,076**	**2,256**	**2,367**
EBITDA	4,739	6,407	6,476	6,629	6,630
Non-operating profit	-225	-51	-88	-113	-108
Forex gains	-405	84	-334	-297	-297
Net interest income	-71	-107	-97	-112	-112
Equity-method gains	9	18	-12	-22	-17
Other	243	-46	355	318	318
Net prof before income tax	585	2,418	1,988	2,143	2,259
Income tax	168	581	478	536	565
Net profit from continuing ops	417	1,837	1,509	1,607	1,694
Net profit from discontinued ops	0	0	0	0	0
Net profit	417	1,837	1,509	1,607	1,694
NP for controlling interest	**470**	**1,731**	**1,369**	**1,458**	**1,576**
Total comprehensive income	327	2,327	1,509	1,607	1,694
Total comprehensive income, CI	354	2,243	1,455	1,550	1,633

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**14,252**	**13,978**	**14,713**	**15,589**	**16,586**
Cash & cash equivalents	3,717	3,507	4,502	5,373	6,371
Accounts receivables & other	6,147	5,845	5,676	5,697	5,713
Inventory	940	416	404	411	417
Non-current assets	27,628	28,971	28,619	28,508	28,544
Tangible assets	14,826	14,258	14,001	13,790	13,720
Investment in affiliates	1,562	1,564	1,519	1,545	1,568
Other investment assets	2,759	3,363	3,357	3,360	3,363
Total assets	**41,880**	**42,949**	**43,332**	**44,097**	**45,130**
Current liabilities	13,875	11,693	11,426	11,375	11,331
Accounts payable & other	7,395	6,869	6,670	6,603	6,542
ST financial liabilities	450	710	710	710	710
Liquid LT liabilities	3,445	1,790	1,790	1,790	1,790
Non-current liabilities	10,009	11,798	11,509	11,288	11,239
LT financial liabilities	560	1,242	1,242	1,242	1,242
Debentures	6,056	7,044	6,910	6,787	6,717
Total liabilities	**23,883**	**23,491**	**22,936**	**22,663**	**22,571**
Equity, controlling interest	16,211	17,656	18,453	19,342	20,349
Paid-in capital	1,564	1,564	1,564	1,564	1,564
Capital surplus	1,443	1,443	1,443	1,443	1,443
Retained earnings	13,780	14,964	15,762	16,651	17,657
Equity, non-controlling interest	1,786	1,802	1,943	2,092	2,211
Total equity	**17,997**	**19,458**	**20,396**	**21,434**	**22,559**
Net debt	**7,593**	**8,194**	**6,942**	**5,837**	**4,763**
Total debt	12,654	13,327	13,067	12,835	12,761

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**5,066**	**4,942**	**4,577**	**4,488**	**4,474**
Net profit	417	1,837	1,509	1,607	1,694
Depreciation & amortization	3,278	3,330	3,857	3,843	3,743
Forex gains	383	-12	334	297	297
Affiliate investment gains	0	0	12	22	17
Increase in net working cap	69	-1,775	-2,394	-2,526	-2,513
Other	919	1,563	1,258	1,245	1,236
Investing cash flow	**-2,845**	**-4,518**	**-3,782**	**-4,000**	**-4,038**
Investment	405	-704	51	-30	-26
Increase in tangible assets	-2,909	-3,597	-3,600	-3,632	-3,673
Decrease in tangible assets	103	58	0	0	0
Other	-444	-276	-233	-338	-339
Financing cash flow	**-1,390**	**-631**	**-1,809**	**-1,778**	**-1,620**
ST financial liabilities	87	464	-26	-9	-4
Debenture/LT financial liabilities	94	209	-234	-223	-70
Equity	0	0	0	0	0
Cash dividend	-872	-578	-572	-569	-569
Other cash flow	-698	-727	-977	-977	-977
Consolidation adj and other	7	-2	2,008	2,161	2,183
Increase in cash & equivalents	**837**	**-210**	**995**	**871**	**998**
Beginning cash & equivalents	2,880	3,717	3,507	4,502	5,373
Ending cash & equivalents	3,717	3,507	4,502	5,373	6,371
NOPLAT	809	2,469	**2,076**	**2,256**	**2,367**
FCF	**2,156**	**1,345**	**977**	**856**	**801**

Valuation

FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	1,850	6,869	5,432	5,785	6,252
BPS (won)	65,942	73,231	77,817	81,566	85,810
EBITDA/shr (won)	18,643	25,420	25,694	26,302	26,308
SPS (won)	103,976	112,070	108,824	110,725	112,385
DPS (won)	2,000	2,400	2,400	2,400	2,400
P/E (x)	**21.0**	**7.4**	**9.9**	**9.3**	**8.6**
P/B (x)	**0.6**	**0.7**	**0.7**	**0.7**	**0.6**
EV/EBITDA (x)	**4.1**	**3.6**	**3.5**	**3.2**	**3.1**
P/S (x)	**0.4**	**0.5**	**0.5**	**0.5**	**0.5**

Key financial data

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**0.2**	**6.9**	**-2.9**	**1.7**	**1.5**
Operating profit (%YoY)	**-50.9**	**205.0**	**-15.9**	**8.7**	**4.9**
Net profit, CI (%YoY)	**-53.4**	**268.1**	**-20.9**	**6.5**	**8.1**
Gross margin (%)	100.0	100.0	100.0	100.0	100.0
Operating margin (%)	**3.1**	**8.7**	**7.6**	**8.1**	**8.4**
Net margin, CI (%)	1.8	6.1	5.0	5.2	5.6
EBITDA margin (%)	17.9	22.7	23.6	23.8	23.4
ROIC (%)	3.3	11.4	9.5	10.6	11.4
ROA (%)	1.1	4.1	3.2	3.3	3.5
ROE (%)	**2.9**	**10.2**	**7.6**	**7.7**	**7.9**
Debt-to-equity (%)	132.7	120.7	112.5	105.7	100.0
Net debt-to-equity (%)	46.8	46.4	37.6	30.2	23.4
OP/financing cost (x)	2.2	6.7	5.3	5.5	5.8

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

LG U+ (032640 KS)

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Light on assets, high on growth

Mid- to long-term AIDC high-growth story strengthens

LG U+ presented a target to expand its AIDC capacity from the current 165MW to 400MW (IT load) by 2030. Of this, 128MW will be built internally through the Paju AIDC, while the rest will be secured via lease and DBO methods. It is understood that a significant portion of the capacity has been pre-leased prior to completion, limiting utilization risk. Following a consignment operation contract for the Gasan data center with Koramco Asset Management in February, the company signed an MOU in June regarding cooperation in data center investment, development, and operations, kicking off its DBO business expansion. This is a typical asset-light structure, under which LG U+ operates AIDCs developed by Koramco, securing operational revenue without needing to raise external capital. We expect strong AIDC growth in the mid- to long term on increased colocation demand and DBO expansion.

Maintain BUY and target price of W21,000

LG U+ recently announced a semi-annual dividend and share buyback, reaffirming its commitment to enhancing shareholder returns. The semi-annual DPS was raised to W270 (+8.0% YoY), lifting expectations for a higher year-end dividend as well. The company also decided to repurchase W90bn worth of shares, W10bn more than in 2025.

We note that LG U+ is simultaneously expanding shareholder returns and investing for growth. While stronger shareholder returns should provide downside support for the share price, rapid AIDC growth is expected to translate into earnings and serve as a catalyst for a valuation re-rating.

BUY (M)

Target price	W21,000 (M)
Previous target price	W21,000
Current price (Sep 01)	W15,220
Upside potential	38%

Market cap (Wbn)	6,460
Shares outstanding	424,427,732
Avg daily T/O (2M, Wbn)	16
Avg daily volume (2M, shrs)	1,102,327
52-week high/low (won)	17,810 / 13,900
Foreign ownership (%)	41.48%
Dividend yield (%)	4.48%
Major shareholders	LG Corp & others

Stock performance

(%)	1M	3M	12M
Absolute	3.0	(7.3)	5.4
Relative	(0.6)	19.2	(51.5)
Abs (US$)	7.0	1.7	7.2

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	4,024	0.3	8.9	3,931	2.4
OP	304	88.3	-11.6	300	1.4
Pre-tax net profit	231	120.2	-26.8	248	-6.9
Net profit, CI	180	262.3	-18.0	190	-5.2
OPM (%)	7.6	+3.6 %pt	-1.7 %pt	7.6	0
NPM (%)	4.5	+3.3 %pt	-1.4 %pt	4.8	-0.3 %pt

Note: CI = controlling interest

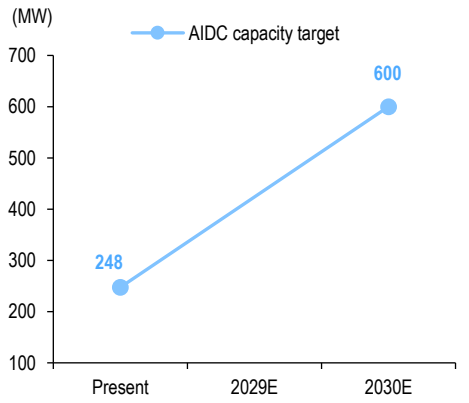
Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2025A	2026E	2027E	2028E
Sales	15,452	15,436	15,898	16,140
OP	892	1,166	1,232	1,298
Net profit, CI	524	761	791	801
P/E (x)	11.0	8.5	8.2	8.1
P/B (x)	0.6	0.7	0.7	0.6
EV/EBITDA (x)	3.4	3.2	3.0	2.9
ROE (%)	6.0	8.4	8.3	7.9

Source: Yuanta Securities

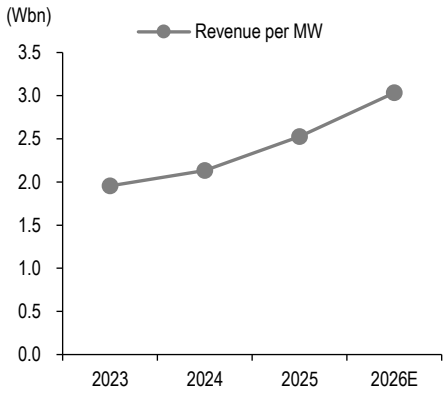
For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

LG U+: AIDC capacity target



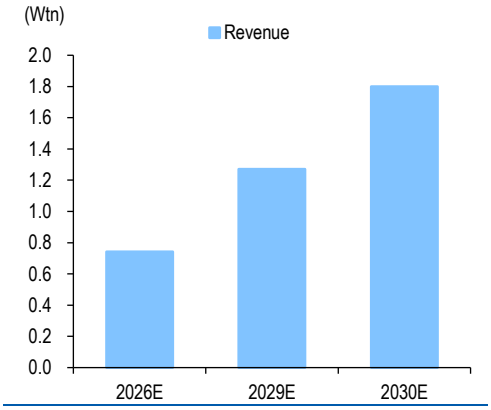
Note: our estimate based on receiving capacity
Source: company data, Yuanta Securities

LG U+: AIDC revenue per MW



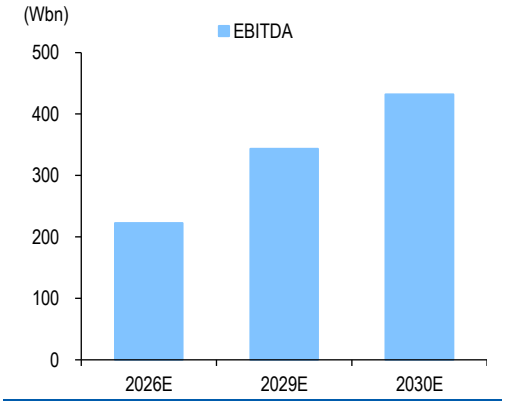
Note: our estimate
Source: company data, Yuanta Securities

LG U+: AIDC revenue forecast



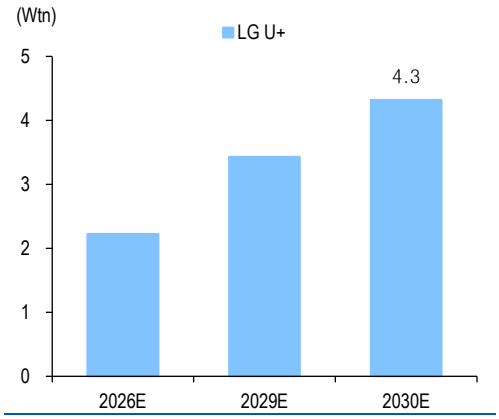
Source: company data, Yuanta Securities

LG U+: AIDC EBITDA forecast



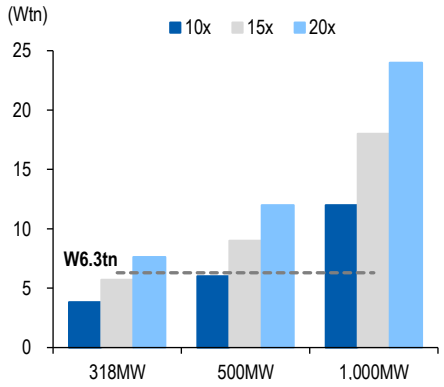
Source: company data, Yuanta Securities

LG U+: AIDC business value forecast



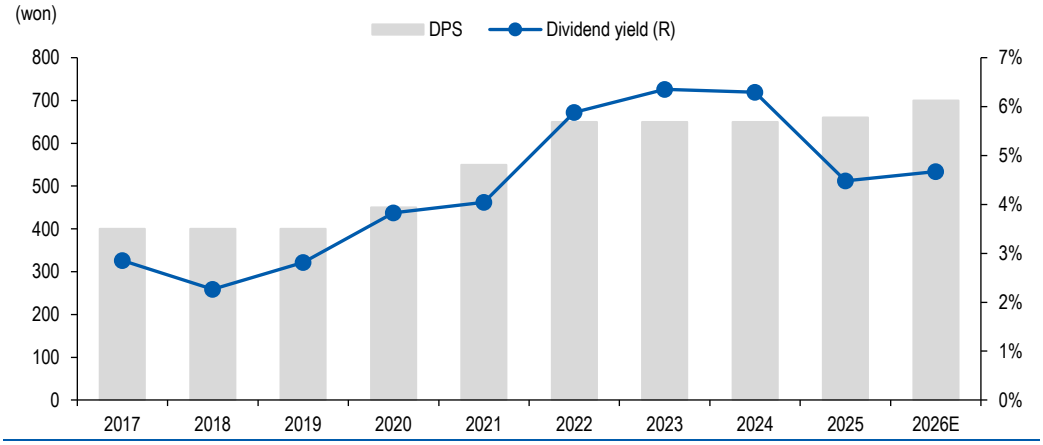
Source: company data, Yuanta Securities

SK Horizon AIDC multiple estimates by capacity



Source: company data, Yuanta Securities

LG U+: DPS and dividend yield



Source: FnGuide Quantiwise, Yuanta Securities

LG U+ (032640 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**14,625**	**15,452**	**15,436**	**15,898**	**16,140**
Cost of sales	0	0	0	0	0
Gross profit	14,625	15,452	15,436	15,898	16,140
SG&A	13,762	14,560	14,270	14,666	14,842
Operating profit	**863**	**892**	**1,166**	**1,232**	**1,298**
EBITDA	3,527	3,589	3,843	3,906	3,972
Non-operating profit	-413	-212	-162	-195	-245
Forex gains	0	-2	0	0	0
Net interest income	-201	-203	-197	-195	-145
Equity-method gains	-2	-2	109	7	-93
Other	-210	-5	-74	-7	-7
Net prof before income tax	451	680	1,004	1,037	1,053
Income tax	136	171	251	254	265
Net profit from continuing ops	315	509	753	783	788
Net profit from discontinued ops	0	0	0	0	0
Net profit	315	509	753	783	792
NP for controlling interest	**374**	**524**	**761**	**791**	**801**
Total comprehensive income	266	639	753	783	792
Total comprehensive income, CI	329	651	767	797	807

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**5,264**	**5,414**	**5,904**	**6,432**	**6,858**
Cash & cash equivalents	896	794	1,150	1,486	1,836
Accounts receivables & other	1,930	1,902	1,919	1,976	2,006
Inventory	252	210	210	216	219
Non-current assets	14,444	14,267	14,404	14,279	14,407
Tangible assets	10,709	10,625	11,199	11,203	11,713
Investment in affiliates	73	56	56	57	58
Other investment assets	262	301	301	302	302
Total assets	**19,708**	**19,682**	**20,308**	**20,712**	**21,265**
Current liabilities	5,116	4,676	4,756	4,659	4,712
Accounts payable & other	2,681	2,739	2,736	2,818	2,861
ST financial liabilities	0	0	0	0	0
Liquid LT liabilities	1,805	1,402	1,341	1,141	1,141
Non-current liabilities	5,823	5,938	6,020	6,035	6,044
LT financial liabilities	1,168	975	975	975	975
Debentures	3,322	3,493	3,543	3,543	3,543
Total liabilities	**10,939**	**10,614**	**10,776**	**10,694**	**10,756**
Equity, controlling interest	8,556	8,867	9,339	9,833	10,332
Paid-in capital	2,574	2,574	2,574	2,574	2,574
Capital surplus	872	872	872	872	872
Retained earnings	5,204	5,474	5,947	6,440	6,940
Equity, non-controlling interest	212	201	193	185	177
Total equity	**8,768**	**9,068**	**9,532**	**10,018**	**10,509**
Net debt	**6,168**	**6,104**	**5,756**	**5,222**	**4,873**
Total debt	7,183	7,044	7,052	6,858	6,861

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**3,335**	**2,964**	**3,076**	**3,171**	**3,309**
Net profit	315	509	753	783	792
Depreciation & amortization	2,180	2,210	2,195	2,189	2,189
Forex gains	-1	0	0	0	0
Affiliate investment gains	2	2	-109	-7	93
Increase in net working cap	-2,355	-3,155	-3,133	-3,167	-3,142
Other	3,195	3,397	3,370	3,373	3,377
Investing cash flow	**-2,391**	**-2,019**	**-1,908**	**-1,896**	**-1,911**
Investment	-33	-27	0	-2	-1
Increase in tangible assets	-1,915	-1,611	-1,883	-1,864	-1,883
Decrease in tangible assets	19	15	0	0	0
Other	-462	-396	-25	-30	-28
Financing cash flow	**-611**	**-1,045**	**-968**	**-1,178**	**-985**
ST financial liabilities	-122	-2	0	6	3
Debenture/LT financial liabilities	-84	-136	8	-200	0
Equity	35	0	0	0	0
Cash dividend	-284	-279	-289	-297	-301
Other cash flow	-155	-627	-687	-687	-687
Consolidation adj and other	3	-1	155	239	-62
Increase in cash & equivalents	**337**	**-102**	**356**	**336**	**350**
Beginning cash & equivalents	560	896	794	1,150	1,486
Ending cash & equivalents	896	794	1,150	1,486	1,836
NOPLAT	863	892	**1,166**	**1,232**	**1,298**
FCF	**1,420**	**1,352**	**1,193**	**1,307**	**1,427**

Valuation

FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	858	1,208	1,784	1,864	1,886
BPS (won)	19,906	20,826	22,004	23,167	24,343
EBITDA/shr (won)	8,078	8,273	9,012	9,203	9,359
SPS (won)	33,497	35,616	36,199	37,457	38,028
DPS (won)	650	660	700	710	720
P/E (x)	**11.7**	**11.0**	**8.5**	**8.2**	**8.1**
P/B (x)	**0.5**	**0.6**	**0.7**	**0.7**	**0.6**
EV/EBITDA (x)	**3.1**	**3.4**	**3.2**	**3.0**	**2.9**
P/S (x)	**0.3**	**0.4**	**0.4**	**0.4**	**0.4**

Key financial data

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**1.8**	**5.7**	**-0.1**	**3.0**	**1.5**
Operating profit (%YoY)	**-13.5**	**3.4**	**30.7**	**5.7**	**5.4**
Net profit, CI (%YoY)	**-39.9**	**39.9**	**45.2**	**4.0**	**1.2**
Gross margin (%)	100.0	100.0	100.0	100.0	100.0
Operating margin (%)	**5.9**	**5.8**	**7.6**	**7.8**	**8.0**
Net margin, CI (%)	2.6	3.4	4.9	5.0	5.0
EBITDA margin (%)	24.1	23.2	24.9	24.6	24.6
ROIC (%)	4.3	4.9	6.2	6.4	6.6
ROA (%)	1.9	2.7	3.8	3.9	3.8
ROE (%)	**4.4**	**6.0**	**8.4**	**8.3**	**7.9**
Debt-to-equity (%)	124.8	117.1	113.1	106.8	102.4
Net debt-to-equity (%)	72.1	68.8	61.6	53.1	47.2
OP/financing cost (x)	3.1	3.4	4.4	4.7	5.2

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities